

- You have no idea about the balance in your portfolio
- You kept investing as and when you had surplus and whichever best and most convenient investment option you could get your hand to
- You trust the almighty that your future major expenses would somehow be met with your existing investments
- You don't really know what are your portfolio returns every year
- You do not know whether your portfolio returns can be improved and how

I started as a novice, and so does everybody. So, do not worry. Take charge from now on. Remember that it is not what you have, but what you do with what you have that matters in the end.

In this section of the book, we are going to cover an extremely critical step of building a balanced portfolio. Depending on your age group and your risk taking capability, you may want to choose a particular balance or allocation. In most cases below, we have assumed a moderate risk taking capability i.e. neither very high nor very low. This makes things simpler to start with.

Let us now see what an ideal portfolio mix should be for a moderate risk profile individual (aka a common man) at different age groups. I suggest not to skip reading any of the age groups since you may find something useful in each of these groups. Once you read about your specific age group, compare the suggested portfolio mix with your existing portfolio and understand the gap.

There are bound to be gaps. Do not worry about them. We will try and tell you the mechanism and nuances to bridge these gaps and re-balance your portfolio.

Age less than 18 years

- Most of you would not have started earning in this age group. You may still not have entered the rat race. You may also not be thinking about financial freedom. You may still be in your early